



The Partnership Agreement Checklist

15 things every business partner should agree on **before** signing anything, so you protect the business, the money, and the relationship.

How to use it: sit down with your potential partner, go through each item together, and write your answers down. If you can't agree on an item now, you won't agree on it later under pressure. When every box is checked, take your answers to a lawyer to turn into a formal agreement.

01 Vision & Goals

- ☐ **1. What exactly are we building?**
One sentence: the product or service, who it's for, and where. **Example:** "A halal meal-prep service for families in Dearborn."
- ☐ **2. How big, and how long?**
Side income or full-time? Keep it forever, or sell in 5–10 years? Mismatched ambition is the #1 silent partnership killer.
- ☐ **3. Our values and red lines**
What will we never do? (e.g., interest-based debt, misleading marketing, cutting corners on quality.) Write it down.

02 Contributions & Roles

- ☐ **4. Who brings what?**
List each partner's contribution: cash, skills, time (hours/week), equipment, customers, network. Put a value on non-cash contributions.
- ☐ **5. Who owns which area?**
Assign clear ownership: **sales · operations · finance · marketing · product**. One owner per area, one final decision-maker per area.
- ☐ **6. Time commitment**
Minimum hours per week from each partner, and what happens if someone can't keep it up.

03 Ownership & Money

- ☐ **7. Ownership split**
Who owns what percentage, and why. Base it on what each partner contributes **going forward**, not just who had the idea.
- ☐ **8. Profit & loss sharing**
The profit-sharing ratio is agreed freely; losses are shared according to each partner's capital (the **musharaka** principle). Decide how often profit is paid out vs. reinvested.

03 Ownership & Money (continued)

☐ 9. Salaries and spending

Who gets paid a salary before profit, and how much? What's the spending limit one partner can approve alone (e.g., \$1,000) before needing the other?

☐ 10. Vesting: ownership is earned over time

Shares are earned gradually (e.g., over 4 years, with nothing earned if someone leaves in the first year). A partner who quits after 3 months shouldn't keep half the company.

☐ 11. Future funding

If we need more money, where does it come from? Partners first? New investors? How does that change ownership? Avoid interest-based loans if that's one of your red lines.

04 Decisions & Disagreements

☐ 12. How we make big decisions

Define "big" (hiring, large purchases, new partners, selling). Which need both partners to agree? Which can one partner decide alone?

☐ 13. How we resolve deadlocks

If we disagree and can't move forward: a trusted mediator, a third advisor, or an agreed tie-break rule. Decide now, while you're calm.

05 Exit & the Unexpected

☐ 14. If a partner wants to leave

How is their share valued (a formula, not a feeling), who can buy it, and how is it paid (in installments, over what time)? Can they compete with the business afterward?

☐ 15. Death, illness, or disability

What happens to a partner's share and family? Does the business buy it back? This is uncomfortable, but it protects everyone's family.



5 Red Flags in a Partner

- Vague about their own money or past deals
- Wants a big share before contributing anything
- Avoids putting things in writing
- Blames others for every past failure
- Pushes you to commit fast



Before You Sign

- Run a 30-day test project together
- Meet their family or references
- Answer all 15 items above in writing
- Have a lawyer draft the agreement
- Consult a scholar on Islamic terms if needed

Looking for the right partner?

Join Musharaka Collective, a free community of Arab entrepreneurs, experts, investors, and business owners in the US building halal businesses together.

[Search "Musharaka Collective" on Facebook](#)

This checklist is general educational information, not legal, tax, or religious advice. Laws differ by state. Always consult a licensed attorney and accountant before forming a partnership, and a qualified scholar for questions of Islamic law.